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Safaricom Kenya FY'25 Earnings Note

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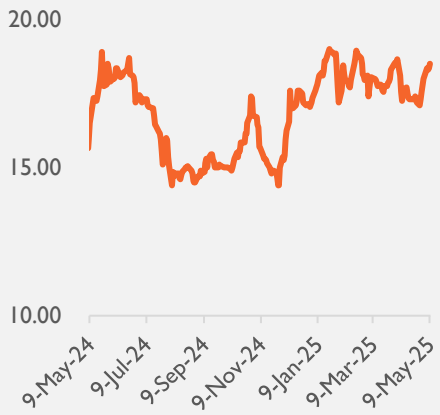
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Safaricom Plc FY'25 Earnings Note

May 15th, 2025

Ticker Information	
NSE Code:	SCOM
Issued Shares (Bn):	40.065
52-week high:	KES 24.95
52-week low:	KES 11.50

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	7.25%	3.06%	18.21%	12.12%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
BUY	KES 19.45	KES 25.36

Summary

- **Safaricom Plc FY'25 registered a 10.8% y/y growth in PAT to shareholders to KES 69.79Bn, underpinned by an 11.2% jump in revenues to KES 388.68Bn with this performance marking a historic milestone, with the company crossing the USD 3.0 Bn revenue mark.** Revenue growth was notably supported by an increase in mobile data revenue, which recorded a 16.5% y/y growth to KES 78.52Bn, which we believe was driven by the increased uptake of 4G+ devices, supported by Safaricom-led initiatives like Lipa Mdogo Mdogo, which facilitated the acquisition of 700K devices in FY'25 alone. M-Pesa revenue also saw a significant uptick, growing 15.1% y/y to KES 161.13Bn, with customer growth in the Kenyan segment recording a 10.5% y/y increase to 35.8Mn—the highest y/y growth in four years.
- **• The Board of Directors has proposed a final dividend of KES 0.65 per share.** Combined with the earlier interim dividend of KES 0.55, this brings the total FY'25 dividend to KES 1.20 per share, maintaining the same level as FY'24. We believe the dividend remained unchanged despite the revenue increase, as the foreign exchange impact from the depreciation of the Ethiopian Birr negatively affected net earnings.

Key Highlights

- The group capital expenditure (Capex) witnessed a 2.3% y/y decline to KES 91.3Bn. was primarily attributed to reduced Capex in the Ethiopian subsidiary, which had reached its peak investment phase in FY'23, with capex in the subsidiary coming in at $1.2Bn just below the targeted range for the 5year period of USD 1.0Bn- USD 1.3Bn. Meanwhile, Capex in the Kenyan segment remained stable. Looking ahead, the Group expects Capex to continue declining to a range of KES 72–78 Bn, as the Ethiopian subsidiary approaches its medium-term target of deploying 4,000 sites.
- Voice and messaging revenues recorded a slight uptick in FY'25, rising by 1.8% y/y and 1.9% y/y to KES 81.9 Bn and KES 12.5 Bn, respectively — a contrast to global trends where these connectivity channels have experienced declining demand. The Group attributed this growth to the optimization of customer propositions through reduced pricing and personalized offerings.

Service Revenue

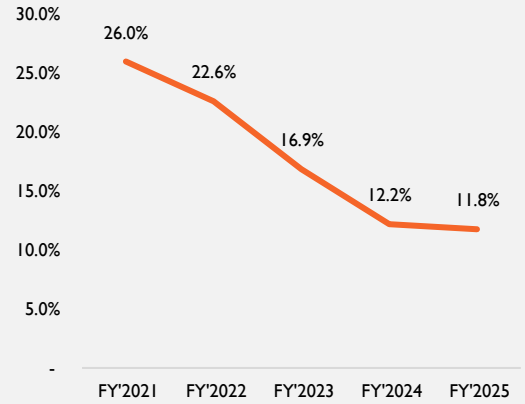
Service revenue in the Kenya business registered a 10.5% y/y growth to KES 364.28 Bn, with all service revenue lines recording growth except mobile incoming revenue, which declined due to a reduction in mobile termination rates. Service revenue in Ethiopia also increased to KES 7.54 Bn, as the Group continued to scale its customer base.

Voice and Messaging Revenue - Voice revenue growth exceeded our expectations, realizing a 1.6% y/y growth to KES 80.78Bn in the Kenyan business, an increase we believe can be attributable to the increase in one-month active customer, which registered a 7.1% y/y to 36.7Mn- the highest growth rate registered in the past four years. In the Ethiopian business, voice revenue also grew to KES 1.17 Bn, up from KES 1.02 Bn in the previous year. This increase was similarly supported by growth in 90-day active customers, which more than doubled to 7.8 Mn from 3.5 Mn in FY'24. Additionally, average revenue per user (ARPU) in Ethiopia rose by 46.1% y/y to ETB 22.8, while minutes of use per user surged by 80.3% to 127.3 minutes. Messaging revenue also witnessed an increase in both markets, with the Kenyan business realizing a 1.6%y/y growth to KES 12.47 Bn. In Ethiopia, while revenue increased to KES 82.00Mn, growth in this segment lagged behind other service lines, with SMS's per user posting only a modest 3.4% y/y increase.

Data Revenue - Mobile data revenue in the Kenyan business recorded a notable 15.2% y/y increase to KES 72.86 Bn. This growth is likely driven by the rising penetration of 4G+ devices in the market, which grew by 33.3% y/y to 23.4 Mn. Average data usage per user also rose by 13.9% y/y to 4.2GB, supported by stabilizing prices — with the cost per MB declining by 3.3% y/y, thereby enhancing affordability and stimulating demand. In the Ethiopian subsidiary, mobile data revenue amounted to KES 5.65 Bn, maintaining its position as the leading service line in the market. We believe this segment will maintain its growth momentum in both markets as the business expands its 4G and 5G network coverage across both markets.

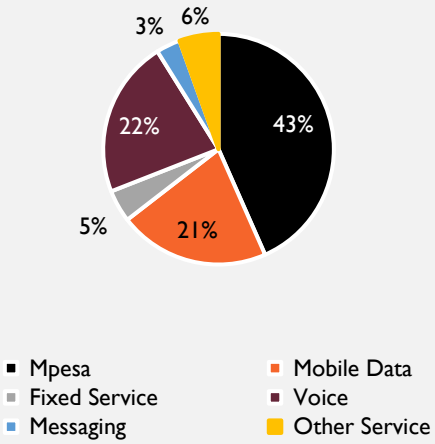
Mpesa Revenue - M-Pesa revenue in the Kenyan business rose by 15.2% y/y to KES 161.13 Bn, while the number of active users increased by 10.5% y/y to 35.8 Mn — the highest annual growth rate in four years. We believe this uplift in revenue was largely driven by an increase in chargeable transactions as a share of total M-Pesa transaction value, which rose by 14.9% y/y and now constitutes 68.1% of total processed value, reflecting improved monetization efficiency. Additionally, the number of 30-day chargeable transactions per customer per month rose by 20.3% y/y to 37.9, further boosting realizable revenue per user.

Chart 2: Net Profit Margin on the Decline



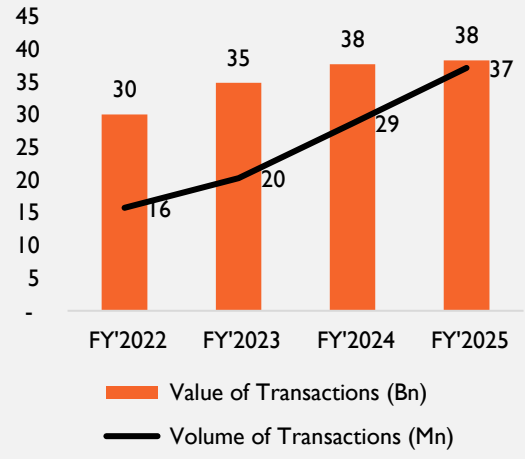
Source: Company filings, AIB-AXYS Research.

Chart 3: Service Revenue Skewed to Mpesa Revenue



Source: Company filings, AIB-AXYS Research.

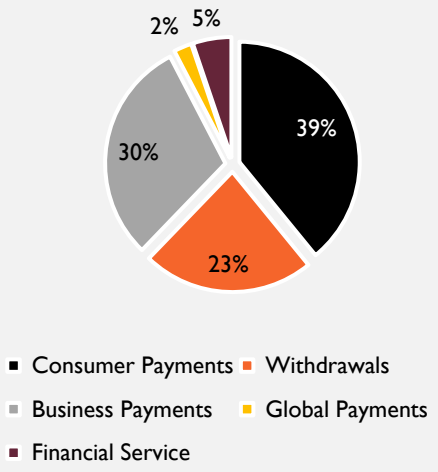
Chart 4: Mpesa Transactions on a Steady Rise



Source: Company filings, AIB-AXYS Research.

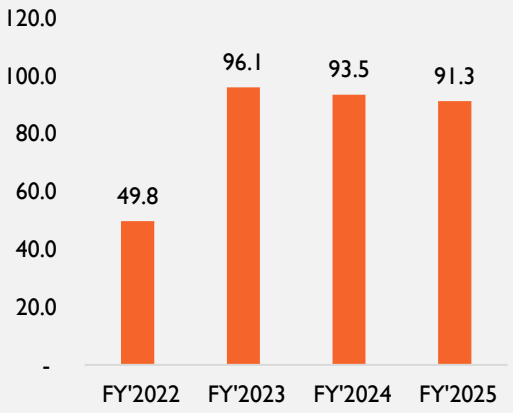
Total transaction volumes also experienced strong growth, rising by 29.5% y/y to 37.2 Bn. This was supported by stable take rates, which saw only a modest increase of 1.2% y/y to 62bps. Business payments emerged as the primary revenue driver within M-Pesa, posting a 27.4% y/y increase to KES 48.6Bn, while the financial services segment rebounded with a 5.7% y/y growth to KES 8.4Bn, reversing the prior year's contraction. Within this, Fuliza returned to positive momentum, delivering 5.6% y/y revenue growth to KES 4.1Bn, as increased utilization volumes offset pricing compression that had previously constrained revenue realization. In Ethiopia, M-Pesa uptake continued to gain momentum, with the number of 90-day active customers rising by 71.4% y/y to 2.4Mn. We believe this continued expansion of M-Pesa in the Ethiopian market presents significant upside potential, particularly as the business begins to integrate successful Kenyan offerings — such as Fuliza — to drive additional revenue from the service.

Chart 5: Mpesa Revenue Contribution



Source: Company filings, AIB-AXYS Research.

Chart 6: Capital Expenditure Performance



Source: Company filings, AIB-AXYS Research.

Outlook

Looking ahead, we expect Safaricom Group's performance to be primarily driven by the Kenyan segment, supported by an improving macroeconomic environment characterized by easing inflation and declining interest rates. These conditions are likely to spur consumer spending, thereby enhancing revenue generation across the Group's service lines. Furthermore, the continued penetration of 4G+ devices is expected to play a critical role in expanding the company's addressable market, enabling broader distribution and uptake of its digital and financial services. In the Ethiopian market, we believe that ongoing network rollout and increased coverage will underpin growth, given the country's sizable population and relatively low mobile penetration.

Expanded connectivity is expected to drive customer acquisition and service usage as the infrastructure base matures. From a group perspective, we anticipate improved net earnings in FY'26, largely due to a projected reduction in foreign exchange losses. The Ethiopian Birr has only depreciated 4.2% year-to-date, compared to a significant 127% depreciation in 2024. This stabilization is likely to mitigate FX-related earnings pressure, which negatively impacted FY'25 net income by KES 20.5Bn. As a result, the Group is better positioned to achieve its EBIT target range of KES 144–150 Bn. However, we remain cautious about intensifying competition from Ethio Telecom, which may continue to exert pressure on the Group's overall performance. This competitive landscape could potentially delay the breakeven timeline for the Ethiopian unit beyond the FY'27 target. Consequently, FY'26 will be a pivotal year in determining the trajectory and viability of the Ethiopian operation's contribution to Group profitability.

Recommendation

- We issue a BUY recommendation on Safaricom on account of its promising growth potential. At the current market price, the stock is trading at P/E ratio of 12.2x and a P/B ratio of 4.4x. Our one-year target price for Safaricom currently stands at KES 25.36 - representing a c.30.3% upside potential from current levels.

Income Statement	FY'2021	FY'2022	FY'2023	FY'2024	FY'2025	y/y change
Revenue	264,026.5	298,078.0	310,904.8	349,447.2	388,688.9	▲ 11.2%
Direct costs	(80,852.8)	(91,467.8)	(92,232.1)	(97,046.9)	(101,081.3)	▲ 4.2%
Gross Profit	183,173.7	206,610.2	218,672.7	252,400.3	287,607.6	▲ 13.9%
EBITDA	134,129.2	149,062.0	139,862.4	163,292.6	172,150.9	▲ 5.4%
Earnings Before Interest and Taxes	96,164.9	109,128.7	84,997.4	80,344.8	104,050.1	▲ 29.5%
Profit Before Income Tax	93,635.5	102,213.5	88,345.2	84,687.4	93,210.5	▲ 10.1%
Net Profit Attributable to Shareholders	68,676.2	69,648.1	62,268.9	62,991.7	69,798.7	▲ 10.8%

Balance Sheet	FY'2021	FY'2022	FY'2023	FY'2024	FY'2025	y/y change
Total Non-current Assets	174,719.9	281,548.6	436,771.5	558,622.4	431,235.0	▼ (22.8%)
Total Current Assets	55,909.4	65,250.0	72,435.5	82,541.9	84,049.2	▲ 1.8%
Total Assets	230,629.3	346,798.6	509,207.0	641,164.3	515,284.2	▼ (19.6%)
Total equity	137,635.3	179,700.9	263,365.9	335,747.9	224,021.1	▼ (33.3%)
Total non-current liabilities	17,541.7	68,947.1	105,463.9	137,594.3	136,230.8	▼ (1.0%)
Total Current Liabilities	75,452.3	98,150.6	140,377.2	167,822.1	155,032.3	▼ (7.6%)
Total Liabilities	92,994.0	167,097.7	245,841.1	305,416.4	291,263.1	▼ (4.6%)

Ratio Analysis	FY'2021	FY'2022	FY'2023	FY'2024	FY'2025
Profit Ratios					
Net Profit Margin	26.0%	22.6%	16.9%	12.2%	11.8%
Total Asset Turnover	1.1	0.9	0.6	0.5	0.8
Return on Equity	49.9%	37.6%	19.9%	12.7%	20.4%
Return on Assets	29.8%	19.5%	10.3%	6.7%	8.9%
EBITDA Margin	50.8%	50.0%	45.0%	46.7%	44.3%
Liquidity Ratios					
Current Ratio	0.7	0.7	0.5	0.5	0.5
Cash Ratio	0.4	0.3	0.2	0.1	0.2
DuPont Identity					
ROE	49.9%	37.6%	19.9%	12.7%	20.4%
Net Income/Revenue	26.0%	22.6%	16.9%	12.2%	11.8%
Revenue/Total Assets	114.5%	86.0%	61.1%	54.5%	75.4%
Total Assets/Total Equity	167.6%	193.0%	193.3%	191.0%	230.0%

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